

next twelve months, it's time to figure out what bank accounts you should set up.

I believe the bank accounts you should consider holding at a minimum are a bills account, a savings account and an everyday account. (I call these accounts the 'basics'.) If you have a mortgage, your savings account would be in an offset account attached to your mortgage. If you don't have a mortgage, you want bank accounts with low fees and high interest, such as an online high interest savings account, remembering that in times of low interest rates, a 'high' interest rate might be less than 2 per cent.

Other accounts you might want to consider are a splurge/holiday/ fun account, a buffer (or 'oh f*ck') account and a joint account. The number of bank accounts and even types of bank accounts will often depend on your Money Type and Money Story. I've given examples of the bank accounts each Money Type might want to consider in the next chapter, where I break up habits by type.

Once you know which bank accounts you need to set up, the next step involves working out how much to transfer to each one. The amounts will depend on your long-term goals from step one and your twelve-month plan from step two. Let's look at those accounts in more detail, including how to work out what each should be used for.

Bills Account: The amount you regularly transfer to your bills account should be fairly easy to figure out. This will include your mortgage/rent, electricity, gas, phone, internet, school fees, car registration and insurances. It's a good idea to list the different types of bills you are going to pay from this account so it's clear in your mind and you ensure you won't miss any.

Once you've worked out what bills to include in your bills account, you'll need to calculate how much to transfer to this account each pay cycle to cover them. If you're paid fortnightly, you can work out the annual amount of each bill and then divide this annual amount by 26 to reach the fortnightly amount. For example, if you pay electricity monthly and your average bill is \$600, to figure out the fortnightly amount you would first work out the annual amount: $\$600 \times 12 = \7200 . And then work out the fortnightly amount: $\$7200 \div 26 = \276.93 . Continue doing this until you have the fortnightly amount for each bill, then add them all up to work out the total you need to transfer each pay cycle.